

Sahel Microfinance Bank Plc

Procurement and Vendor Management Policy

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1. Scope

This policy governs the acquisition of goods, services and works by Sahel Microfinance Bank Plc. It applies to all business units and all branches. It does not apply to the acquisition of banking software licensed under a group arrangement, which is governed separately by the Group Technology Procurement Standard.

2. Approval thresholds

Value (NGN)	Sourcing requirement	Approval authority
Up to 500,000	Single quotation	Branch Manager or Unit Head
500,001 – 2,500,000	Three written quotations	Head, Administration
2,500,001 – 15,000,000	Competitive bid, minimum four bidders	Management Procurement Committee
15,000,001 – 75,000,000	Competitive bid with technical and financial evaluation	Managing Director
Above 75,000,000	Competitive bid with technical and financial evaluation	Board Finance and General Purpose Committee

Splitting a requirement to bring it below a threshold is a disciplinary offence under section 8 of the Employee Handbook.

3. Vendor registration

No payment shall be made to a vendor not registered on the Approved Vendor List. Registration requires a certificate of incorporation, tax clearance certificate covering the three most recent assessment years, evidence of registration for value added tax, and bank account details verified against the Bank Verification Number of a listed director.

Registration lapses after twenty-four months and requires renewal with a current tax clearance certificate.

4. Emergency procurement

Where a failure of a critical service would result in branch closure, loss of connectivity to the core banking application, or breach of a regulatory deadline, the Head of Administration may authorise emergency procurement up to NGN 5,000,000 without competitive sourcing. Emergency procurement must be reported to the Management Procurement Committee at its next meeting with a written justification.

Emergency procurement may not be used for recurring requirements that could reasonably have been anticipated.

5. Conflict of interest

Staff participating in a sourcing decision shall declare any relationship with a bidder, including relationships by marriage, prior employment within the last three years, and any financial interest. A declared conflict results in recusal from the evaluation.

6. Contract management

Contracts exceeding NGN 15,000,000 or twelve months in duration require a nominated contract owner responsible for performance monitoring and for initiating renewal or termination not less than ninety days before expiry. Automatic renewal clauses are not permitted.

7. Payment terms

Standard payment terms are thirty days from receipt of a valid invoice and satisfactory delivery. Advance payment exceeding thirty per cent of contract value requires an advance payment guarantee from a bank acceptable to the Bank. Advance payment to a vendor registered for less than twelve months is not permitted.

8. Records

Procurement records including quotations, evaluation sheets, approvals and contracts are retained for seven years from contract completion and are subject to review by Internal Control and the Bank's external auditors.

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